

COMMERCIAL PROPERTY INSURANCE

Underwriting Submission Package

Submission ID:	CRE-2024-00203	Submission Date:	March 12, 2024
Broker:	Robert Thompson	Broker License:	TX-INS-5567234
Requested Effective:	May 1, 2024	Requested Expiry:	May 1, 2025

1. NAMED INSURED INFORMATION

Legal Entity Name:	Gulf Coast Warehouse Holdings LP
DBA (if applicable):	Port Industrial Complex
Entity Type:	Limited Partnership
Tax ID / EIN:	76-8834521
Years in Business:	8
Mailing Address:	4500 Navigation Blvd, Houston, TX 77011
Primary Contact:	David Martinez, General Partner
Contact Phone:	(713) 555-8800
Contact Email:	dmartinez@gulfcoastwarehouse.com

2. COVERAGE REQUESTED

Coverage Type	Limit	Deductible	Co-Insurance
Building Coverage	\$18,000,000	\$100,000	80%
Business Personal Property	\$8,000,000	\$50,000	80%
Business Income	\$3,000,000	72 days	N/A
General Liability	\$2,000,000	\$25,000	N/A
Umbrella/Excess	\$5,000,000	\$50,000	N/A

3. PROPERTY SCHEDULE

Property 1: 8700 Port Road, Houston, TX 77029

Property Type:	Industrial Warehouse/Distribution	Occupancy:	Chemical Storage & Distribution
Year Built:	1985	Total Sq Ft:	175,000
Number of Stories:	1	Construction Type:	Non-Combustible (ISO Class 3)
Roof Type:	Metal deck	Roof Age:	22 years
Sprinklered:	Partial - Office areas only	Fire Alarm:	Local alarm only
Security System:	Perimeter fence + night watchman	Distance to Fire Hydrant:	450 feet

Building Value:	\$12,000,000
Contents Value:	\$6,500,000
Business Income (12 mo):	\$2,800,000
Total Insurable Value (TIV):	\$21,300,000

Property 2: 8750 Port Road, Houston, TX 77029

Property Type:	Industrial Warehouse	Occupancy:	General Warehousing
Year Built:	1978	Total Sq Ft:	85,000
Number of Stories:	1	Construction Type:	Joisted Masonry (ISO Class 2)
Roof Type:	Built-up tar and gravel	Roof Age:	31 years
Sprinklered:	No	Fire Alarm:	None
Security System:	Perimeter fence only	Distance to Fire Hydrant:	500+ feet

Building Value:	\$4,500,000
Contents Value:	\$1,200,000
Business Income (12 mo):	\$500,000
Total Insurable Value (TIV):	\$6,200,000

TOTAL PORTFOLIO TIV: \$27,500,000

4. LOSS HISTORY (Past 5 Years)

Date	Type	Description	Paid	Reserved	Status
2020-08-27	Wind/Flood	Hurricane Laura - significant roof and water damage	\$892,000	\$0	Closed
2021-02-18	Freeze	Winter Storm Uri - pipe burst and equipment damage	\$445,000	\$0	Closed
2022-06-12	Fire	Electrical fire in Building B - contained to one section	\$178,000	\$25,000	Open
2023-11-03	Theft	Break-in and theft of copper wiring and equipment	\$67,000	\$0	Closed
TOTAL:			\$1,582,000	\$25,000	

5. RISK ASSESSMENT FACTORS

Factor	Status	Details
Flood Zone	Zone A	HIGH RISK - Within 500-year floodplain, near Houston Ship Channel
Earthquake Zone	Zone 0	Minimal seismic activity
Hurricane Exposure	High	Gulf Coast exposure - within 50 miles of coast
Crime Rate (Area)	High	Industrial area with elevated theft and vandalism statistics
Building Code Compliance	Partial	Building B has outstanding fire code violations - sprinkler required by 2025
Prior Insurance	Gaps	Multiple carriers - 2 non-renewals in past 3 years

6. TENANT SCHEDULE

Tenant Name	Suite	Sq Ft	Lease Expiry	Annual Rent	Industry
ChemDistro Inc.	Bldg A	120,000	2025-04-30	\$840,000	Chemical Distribution
Gulf Logistics LLC	Bldg A	55,000	2024-12-31	\$330,000	Logistics
VACANT	Bldg B	85,000	N/A	\$0	N/A
TOTALS		260,000		\$1,170,000	

Occupancy Rate: 67%

7. FINANCIAL SUMMARY

Metric	Current Year	Prior Year
Gross Rental Income	\$1,420,000	\$1,850,000
Operating Expenses	\$710,000	\$740,000
Net Operating Income (NOI)	\$710,000	\$1,110,000
Debt Service	\$680,000	\$680,000
Debt Service Coverage Ratio	1.04x	1.63x
Cap Rate	4.1%	6.4%

8. UNDERWRITING CONSIDERATIONS

Positive Factors:

- + Long-term tenant ChemDistro has been in place 6 years
- + Strategic location near Port of Houston
- + Owner committed to installing sprinklers in Building B by Q4 2024

Risk Concerns:

- SIGNIFICANT LOSS HISTORY - 4 claims totaling \$1.58M in 4 years
- HIGH FLOOD ZONE (A) - near Ship Channel, recurring flood exposure
- Building B is unsprinklered with outstanding fire code violations
- Older roof on Building B (31 years) - past useful life
- 67% occupancy - Building B entirely vacant
- Chemical storage occupancy - hazardous materials exposure
- Weak DSCR (1.04x) - minimal financial cushion
- Prior non-renewals indicate adverse selection risk
- Limited fire protection - local alarm only, far from hydrant
- High crime area with recent theft claim

9. PRICING INDICATION REQUEST

Coverage	Target Premium	Expiring Premium
Property (All Risk)	\$425,000	\$380,000
General Liability	\$85,000	\$75,000
Umbrella	\$65,000	\$55,000
TOTAL	\$575,000	\$510,000

10. SUPPORTING DOCUMENTS ATTACHED

- ☐ Property Appraisal Report (dated within 12 months)
- ☐ Building Inspection Report
- ☐ Rent Roll (current month)
- ☐ Profit & Loss Statement (trailing 12 months)
- ☐ Prior Policy Declarations Page
- ☐ Loss Runs (5 years)
- ☐ Photos of Property (exterior and common areas)
- ☐ Certificate of Occupancy
- ☐ Fire Alarm & Sprinkler Certifications

11. BROKER CERTIFICATION

I hereby certify that the information contained in this submission is true and accurate to the best of my knowledge. I have conducted reasonable due diligence on the applicant and the properties described herein. I understand that any material misrepresentation may void coverage or result in policy rescission.

Broker Signature:	_____	Date:	_____
Print Name:	Robert Thompson	License #:	TX-INS-5567234
Agency:	Lone Star Commercial Insurance	Phone:	(713) 555-3300